

Customer Relationship Management

Module 3 – Planning for CRM

For CS Students | Simple & To-the-Point

1. Planning for CRM – Overview

CRM does not just happen by buying software. It requires careful **planning** before any tool is chosen or process is designed.

Why planning matters:

- Most CRM failures are not technology failures – they are *planning* failures.
- Without a plan, organisations collect data nobody uses, set vague goals, and waste budget.
- A plan aligns people, process, and technology toward the same customer goals.

The CRM Planning Cycle:

Assess → Plan → Implement → Measure → Refine

Example: A startup builds a mobile app and buys Salesforce CRM on Day 1 without knowing what customer data they need. Six months later, the CRM is empty and unused. Had they planned first – defined objectives, required data, and expected outputs – they would have used it effectively.

2. Steps in Planning for CRM

There are five key steps in the CRM planning process:

Step 1 → Step 2 → Step 3 → Step 4 → Step 5

Customer Centricity → Objectives → Data → Outputs → Relevant Issues

Step 1: Building Customer Centricity

Definition: Before planning CRM, the entire organisation must shift its mindset from product-focus to customer-focus. This is called building *customer centricity*.

How to build it:

- **Leadership commitment:** Top management must champion the customer-first culture.
- **Employee training:** Every employee – not just sales – must understand their role in customer experience.
- **Restructure incentives:** Reward staff for customer satisfaction metrics (CSAT, NPS), not just sales numbers.
- **Map the customer journey:** Understand every touchpoint before automating it.
- **Break silos:** Sales, marketing, and support must share customer information freely.

Key question to answer: “Is our organisation truly ready to put the customer first?”

Example: HDFC Bank’s CRM rollout succeeded because branch managers were trained first and evaluated on customer retention scores – not just loan disbursements. This cultural

shift (customer centricity) made the technology adoption smooth.

Step 2: Setting CRM Objectives

Definition: Clear, measurable goals that the CRM system is expected to achieve.

Objectives must be SMART:

Letter	Meaning
S – Specific	Increase customer retention, not just “improve customer relations”
M – Measurable	By 15%, tracked monthly
A – Achievable	Realistic given budget and team size
R – Relevant	Tied to overall business goals
T – Time-bound	Achieve within 12 months

Common CRM Objectives:

- Reduce customer churn by X% in Y months.
- Increase cross-sell revenue by X%.
- Improve first-call resolution rate from X% to Y%.
- Reduce Customer Acquisition Cost (CAC) by X%.
- Increase Net Promoter Score (NPS) from X to Y.

Example: Flipkart’s CRM objective before a Big Billion Day sale: “Increase repeat purchase rate of customers who bought electronics last year by 20% within 6 months via personalised email campaigns.” This is SMART – specific, measurable, achievable, relevant, time-bound.

Step 3: Defining Data Requirements

Definition: Identifying exactly what customer data needs to be collected, stored, and used to achieve the CRM objectives.

Types of customer data needed:

Data Type	Examples
Identity Data	Name, email, phone, address
Descriptive Data	Age, income, profession, family size
Behavioural Data	Purchase history, browsing patterns, cart abandonment
Attitudinal Data	Survey responses, satisfaction scores, complaints
Transactional Data	Order value, payment method, frequency
Interaction Data	Support tickets, chat logs, call recordings

Key questions:

- What data do we *already have*?
- What data do we *need but don’t have*?
- How will we *collect* missing data? (surveys, web tracking, purchase records)
- How will we ensure *data quality*? (no duplicates, accurate, up-to-date)
- Are we *compliant* with data laws? (GDPR, India’s DPDP Act)

Example (CS analogy): Defining data requirements is like designing a database schema before writing code. If you don't know what columns you need, you'll keep altering the table later – wasting time and breaking queries. In CRM, collecting irrelevant data wastes storage and analysis effort.

Step 4: Planning Desired Outputs

Definition: Deciding what the CRM system should *produce* – the reports, dashboards, alerts, and actions that will help business decisions.

Outputs are of two types:

1. Operational Outputs: Day-to-day automated actions.

- Auto-send birthday discount emails.
- Alert sales rep when a high-value lead hasn't been contacted in 3 days.
- Trigger a retention offer when a customer's usage drops.

2. Analytical Outputs: Reports and insights for management.

- Monthly customer churn report by segment.
- Campaign ROI dashboard.
- Customer Lifetime Value ranking report.
- NPS trend over last 12 months.

Example: Amazon's CRM output planning includes: (1) Operational – automated “Your order is delayed, here's a Rs. 50 voucher” email, and (2) Analytical – weekly dashboard showing which product categories have the highest return rates, sent to the supply chain team.

Step 5: Relevant Issues While Planning the Outputs

Several issues arise when planning CRM outputs that must be addressed upfront:

1. **Data Privacy & Compliance:** Outputs must not expose personally identifiable information (PII) to unauthorised users. Role-based access control is essential.
2. **Data Accuracy:** Outputs are only as good as the data fed in. Garbage in = garbage out (GIGO principle – CS students will recognise this).
3. **Integration Issues:** CRM outputs must integrate with other systems – ERP, billing, inventory. Poor integration leads to inconsistent data across departments.
4. **User Adoption:** If the reports are too complex or the dashboards are unintuitive, employees won't use them. Design outputs for the actual user.
5. **Scalability:** As customer base grows, will the CRM system handle millions of records and still produce real-time outputs?
6. **Cost vs Value:** Every output has a cost (storage, processing, development). Only plan outputs that directly support a business decision.

Example: A retail chain's CRM produced a 200-page monthly report. No manager read it. After redesigning outputs – a single 1-page dashboard with 5 key metrics – adoption jumped and better decisions followed. Relevance and simplicity of outputs matter.

3. Elements of a CRM Plan

A complete CRM plan document contains the following elements:

Element	Description
Executive Summary	High-level overview of CRM goals and approach
Situation Analysis	Current state of customer relationships (SWOT)
CRM Objectives	SMART goals (as defined in Step 2)
Customer Segments	Which customer groups will be targeted and how
Data Requirements	What data will be collected and from where
Technology Plan	CRM software choice, integrations, infrastructure
People & Process	Team roles, training plan, workflow changes
Budget	Costs for software, training, data migration, maintenance
Timeline / Roadmap	Phased implementation schedule with milestones
Metrics & KPIs	How success will be measured (CSAT, NPS, CLV, Churn)
Risk Plan	Identified risks and mitigation strategies

Example: A telecom company's CRM plan would include a situation analysis showing 18% annual churn, an objective to reduce it to 12%, a technology plan to deploy Salesforce, a people plan to train 500 support agents, and KPIs tracked monthly via dashboards.

4. CRM Strategy

Definition: A CRM strategy is a company-wide plan for how to build, manage, and optimise customer relationships to achieve business goals.

A CRM strategy answers three core questions:

1. **Who** are our most valuable customers?
2. **How** do we acquire, retain, and grow them?
3. **What** tools, data, and processes do we need?

Components of CRM Strategy:

- **Customer Selection:** Which segments to target (based on CLV, profitability).
- **Value Proposition:** What unique value do we offer each segment?
- **Channel Strategy:** How do we reach and serve them (digital, in-store, phone)?
- **Retention Strategy:** Loyalty programmes, personalised offers, proactive support.
- **Win-back Strategy:** How to re-engage churned customers.

Example: Spotify's CRM strategy: (1) Identify high-value users (Premium subscribers who listen 2+ hours daily). (2) Retain them with personalised playlists (Discover Weekly). (3) Win back free users who downgraded with a "3 months Premium for Rs. 59" offer. (4) Channel: all digital – app, email, push notifications.

5. The Strategy Development Process

CRM strategy is developed through a structured process:

Phase 1: Business Strategy Review – Understand the overall business goals. CRM strategy must align with company vision (e.g., “become India’s most customer-centric bank”).

Phase 2: Customer Analysis – Segment customers by value, behaviour, and needs. Identify high-value, at-risk, and growth-potential segments.

Phase 3: Competitive Analysis – What are competitors doing in CRM? Where are the gaps we can exploit?

Phase 4: CRM Opportunity Identification – Where can CRM add the most value? (e.g., reduce churn in premium segment, improve cross-sell in mid-tier).

Phase 5: Strategy Formulation – Define specific CRM strategies per customer segment. Choose channels, messaging, and tools.

Phase 6: Implementation Planning – Break strategy into actionable projects with owners, timelines, and budgets.

Phase 7: Measurement & Review – Define KPIs, set review cadence (monthly/quarterly), and adjust strategy based on results.

Example (CS analogy): The Strategy Development Process is like the Software Development Life Cycle (SDLC): Requirements (business review) → Design (strategy formulation) → Development (implementation) → Testing (pilot) → Deployment → Maintenance (measurement & review). Just as skipping requirements causes bad software, skipping strategy phases causes bad CRM.

6. Customer Strategy Grid

Definition: A strategic tool that maps customers on two dimensions – **Customer Value** (how profitable they are) and **Customer Loyalty/Relationship Strength** – to determine the right CRM strategy for each group.

The Grid (2×2 Matrix):

	Low Loyalty	High Loyalty
High Value	Quadrant 2 – Vulnerable Stars High profit, low loyalty. <i>Strategy: Invest heavily to build loyalty through personalization, rewards, and engagement.</i>	Quadrant 1 – Champions High profit, high loyalty. <i>Strategy: Protect, reward, and use as brand advocates.</i>
Low Value	Quadrant 4 – Deadweight Low profit, low loyalty. <i>Strategy: Minimise cost to serve or allow natural churn.</i>	Quadrant 3 – Loyal Passives Low profit, high loyalty. <i>Strategy: Upsell and cross-sell to increase customer value.</i>

How to use the grid:

1. Calculate CLV and loyalty score for each customer.

2. Plot them on the grid.
3. Assign CRM strategy based on quadrant.
4. Allocate marketing budget proportionally – most to Quadrant 1 & 2.

Example: A credit card company maps its customers:

- **Champions (Q1):** High spenders with 5+ years tenure – given exclusive airport lounge access.
- **Vulnerable Stars (Q2):** High spenders who also hold a competitor card – offered cashback to switch loyalty.
- **Loyal Passives (Q3):** Long-tenure but low spend – offered a spend-based reward upgrade to increase usage.
- **Deadweight (Q4):** Rarely use the card, low balance – no investment; minimal contact.

Quick Revision – Key Terms

Term	One-liner
CRM Planning	Structured process before implementing CRM tools
Customer Centricity	Organisation-wide shift to put customer first
SMART Objectives	Specific, Measurable, Achievable, Relevant, Time-bound
Data Requirements	What customer data to collect, store, and use
Operational Output	Automated CRM actions (emails, alerts, offers)
Analytical Output	Reports and dashboards for management decisions
GIGO	Garbage In = Garbage Out – data quality matters
CRM Plan Elements	Objectives, segments, data, technology, budget, KPIs
CRM Strategy	Company-wide plan to build and grow customer relationships
Strategy Dev. Process	7-phase process from business review to measurement
Customer Strategy Grid	2×2 matrix: Value vs Loyalty to set CRM priorities
Champions (Q1)	High value + high loyalty – protect and reward
Vulnerable Stars (Q2)	High value + low loyalty – invest to retain
Loyal Passives (Q3)	Low value + high loyalty – upsell to grow value
Deadweight (Q4)	Low value + low loyalty – minimise spend

End of Module 3 Notes – Good Luck with your Exam!